

Certificate



This certificate has been issued by the Intermediary on behalf of Insurers. All inquiries regarding this certificate should be addressed to the following:

AFR INSURANCE SERVICES
1820 PRESTON PARK BLVD
SUITE 1100
PLANO, TX 75093

CERTIFICATE PROVISIONS

1. This Certificate is subject to the following clauses:

- a) Wherever the word "Company" appears in the wording and clauses forming part of this document it shall be substituted by the word "Underwriters" or "Insurers" as applicable.
- b) Wherever the word "Certificate" appears in the wording and clauses forming part of this document it shall be substituted by the word "Policy".
- c) Wherever the words "Named Insured" or "Assured" appear, these shall be deemed to mean and read the same.
- d) Wherever the term US\$, \$ or USD appears, same shall be deemed to mean and read U S Dollars.
- e) For the purposes of the insurance the following terms are also synonymous:
REF, LPO, LMA, NMA, LSW

2. Signature Required. This Certificate shall not be valid unless signed by the Correspondent on the attached Declaration Page.

3. Correspondent/Intermediary Not Insurer. Neither the Correspondent nor the Intermediary is an Insurer hereunder and neither of them is nor shall be liable for any loss or claim whatsoever. The Insurers hereunder are those whose names can be ascertained as hereinafter set forth.

4. Cancellation. If this Certificate provides for cancellation and this Certificate is cancelled after the inception date, earned premium must be paid for the time the insurance has been in force.

5. Assignment. This certificate shall not be assigned either in whole or in part without the written consent of the Correspondent endorsed hereon by the Intermediary.

6. Attached Conditions Incorporated. This Certificate is made and accepted subject to all the provisions, conditions and warranties set forth herein, attached or endorsed, all of which are to be considered as incorporated herein.

7. Any provisions or conditions appearing in any forms attached hereto which conflict with or alter the provisions set out above shall supersede the above provisions insofar as the latter are inconsistent with any provisions or conditions appearing in such attached forms.

8. Providing Information to Insurers: Contracts of insurance placed by AFR Insurance Services are subject to local state and/or US federal law and jurisdiction. Care must be taken to ensure that all legal and regulatory requirements in relation to those contracts, including requirements for disclosure of information to insurers in relation to them, are complied with.

9. Claim referral. In respect of any claim referred by the Insured to AFR Insurance Services, AFR Insurance Services acts as agent for the Insurers and not the insured.

10. AFR INSURANCE SERVICES COMPLAINTS PROCEDURE

HOW TO MAKE A COMPLAINT

Should you wish to make a complaint against AFR Insurance Services you may do so either in writing or verbally to the Compliance Team at:

AFR Insurance Services
1820 Preston Park Blvd, Suite 1100
Plano, TX 75093

Telephone: 800-995-8667
Email: complianceteam@afrservices.com

11. AFR INSURANCE SERVICES COMMITMENT TO CUSTOMERS: AFR Insurance Services is committed to handling all customers' complaints received promptly, fairly and in line with regulatory guidelines. We deem a complaint to be any expression of dissatisfaction, whether oral or written, and whether justified or not, from or on behalf of an eligible complainant about the firm's provision of, or failure to provide, insurance.

12. Surplus Lines Notice: This contract is subject to U.S. State Surplus Lines requirements. It is the responsibility of the Surplus Lines Broker to affix a Surplus Lines Notice to the contract document before it is provided to the insured. In the event that the Surplus Lines Notice is not affixed to the contract document the insured should contact the Surplus Lines Broker.



This Declaration Page is attached to and forms a part of Certificate provisions.

PRIVATE FLOOD INSURANCE PROGRAM
STANDARD FLOOD INSURANCE POLICY

GENERAL PROPERTY FORM - COMMERCIAL

POLICY NO:
AFR25CF10000482-07

AUTHORITY REFERENCE NO:
B0572NA25AF01; B0572NA25AF03; RF03741A25

PREVIOUS NO:
AFR24CF10000482-06

1 NAME & MAILING ADDRESS OF ASSURED:
EMPIRE JUNCTION WMP VI LLC
C/O NOVEL COMMUNITIES, CARLA JONES;
5994 S HOLLY, #3045; GREENWOOD VILLAGE, CO 80111

ADDRESS OF PROPERTY TO BE INSURED:
SEE LOCATION AND COVERAGE SCHEDULE

FIRST MORTGAGEE:
TIMBERLINE BANK ISAOA
649 MARKET ST
GRAND JUNCTION, CO 81505

SECOND MORTGAGEE:

LOAN NO:

LOAN NO:

2 CERTIFICATE EFFECTIVE: FROM: 09/04/2025 TO: 09/04/2026 Both Days at 12:01 A.M. Standard Time at Assured address

3 INSURANCE IS EFFECTIVE WITH CERTAIN UNDERWRITERS AT LLOYD'S OF LONDON, GREAT LAKES INSURANCE SE, HAMILTON INSURANCE DAC, & HDI GLOBAL SPECIALTY SE (SEE SECURITY LISTING)

4 LIMITS:	INTEREST: (SEE ATTACHED LOCATION SCHEDULE PER BUILDING LIMITS AND DEDUCTIBLES)	PREMIUM:
\$409,036.00	1. Building Property	\$4,593.69
\$0.00	2. Personal Property	
\$0.00	3. Business Income	

SUBTOTAL PREMIUM:	\$4,593.69
POLICY FEE:	\$100.00
SURPLUS LINES TAX:	\$140.81
STAMPING FEE:	\$8.21

FLOOD ZONE: SEE LOCATION A

TOTAL: \$4,842.71

5 SPECIAL CONDITIONS
THIS INSURANCE APPLIES TO THE PROPERTY DESCRIBED ABOVE AND FOR WHICH A COVERAGE AMOUNT AND PREMIUM ARE STATED, AND IS SUBJECT TO THE FOLLOWING:

FORMS: CSWHPFD002, AFRLS0518

ENDORSEMENTS: CSWHFD008, LMA3100A, LMA5096, TCE1, LSW1135B, NMA1998A, B&CDPSFPN, GLISEDPSFPN, HGSPN,

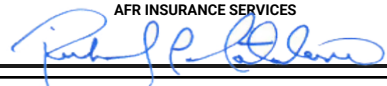
6 SERVICE OF SUIT MAY BE MADE UPON: REFER TO SERVICE OF SUIT NOMINATION REF LMA1998
FOR CLAIMS: PLEASE SEND AN E-MAIL TO: TPAClaims@us.davies-group.com OR CALL 877-871-7344 (MONDAY - FRIDAY 9am to 4:30pm EST)

DATED: 09/02/2025

PRODUCING AGENT: Cherry Creek Insurance Group, 155 Inverness Dr W, Centennial, CO 80112

SURPLUS LINES BROKER: AMERICAN FLOOD RESEARCH, INC. DBA AFR INSURANCE SERVICES, #514851, 1820 PRESTON PARK BLVD, STE. 1100, PLANO, TX, 75093

AFR INSURANCE SERVICES

BY: 

THIS CONTRACT IS DELIVERED AS SURPLUS LINE INSURANCE UNDER THE NONADMITTED INSURANCE ACT. THE INSURER ISSUING THIS CONTRACT IS NOT ADMITTED IN COLORADO BUT IS AN APPROVED NONADMITTED INSURER. THERE IS NO PROTECTION UNDER THE PROVISIONS OF THE COLORADO INSURANCE GUARANTY ASSOCIATION ACT.

This policy meets the definition of private flood insurance contained in 42 U.S.C. 4012a(b)(7) and the corresponding regulation.

THIS SCHEDULE FORMS A PART OF CERTIFICATE #: AFR25CF10000482-07

1 **ASSURED NAME & MAILING ADDRESS**

EMPIRE JUNCTION WMP VI LLC
C/O NOVEL COMMUNITIES, CARLA JONES; 5994 S HOLLY, #3045; GREENWOOD VILLAGE, CO 80111

2 **EFFECTIVE DATE: FROM: 09/04/2025 TO: 09/04/2026 (BOTH DAYS AT 12:01 A.M. STANDARD TIME)**

Total Building Limits: \$409,036 Total Personal Property Limits: N/A Total BI/Rental Limits: N/A

LOC #	LOCATION ADDRESS	FLOOD ZONE
1	275 JUNCTION LOOP ROAD (MAIN HOUSE), EMPIRE, CO 80438	A
PER OCCURRENCE		
Building Limits: \$213,192 Personal Property Limits: N/A BI/Rental Value: N/A		
Building Deductible: \$5,000		
Building RCV: \$273,600		
Effective Date: 9/04/2025		

LOC #	LOCATION ADDRESS	FLOOD ZONE
2	275 JUNCTION LOOP ROAD (TINY HOUSE #2), EMPIRE, CO 80438	A
PER OCCURRENCE		
Building Limits: \$97,922 Personal Property Limits: N/A BI/Rental Value: N/A		
Building Deductible: \$5,000		
Building RCV: \$128,000		
Effective Date: 9/04/2025		

LOC #	LOCATION ADDRESS	FLOOD ZONE
3	275 JUNCTION LOOP ROAD (TINY HOUSE #3), EMPIRE, CO 80438	A
PER OCCURRENCE		
Building Limits: \$97,922 Personal Property Limits: N/A BI/Rental Value: N/A		
Building Deductible: \$5,000		
Building RCV: \$128,000		
Effective Date: 9/04/2025		

POLICY SCHEDULE

POLICY CERTIFICATE #: **AFR25CF10000482-07**

1. TITLE OF ASSURED: **EMPIRE JUNCTION WMP VI LLC**

2. MAILING ADDRESS OF ASSURED: **C/O NOVEL COMMUNITIES, CARLA JONES; 5994 S HOLLY, #3045; GREENWOOD VILLAGE, CO 80111**

3. POLICY PERIOD: **FROM: 9/04/2025 TO: 9/04/2026**
 BOTH DAYS AT 12:01 A.M. LOCAL STANDARD TIME AT THE LOCATION OF THE PROPERTY INSURED

4. PERILS INSURED: **FLOOD ONLY, AS FULLY DEFINED IN POLICY WORDING**

5. THE PROPERTY OR INTEREST:

☒ **BUILDING** ☐ **PERSONAL PROPERTY** ☐ **BUSINESS INCOME**

6. THE PROPERTY IS LOCATED OR CONTAINED AT: **SEE ATTACHED LOCATION SCHEDULE**

7. PREMIUM: **SEE ATTACHED DECLARATIONS PAGE**

8. LIMITS: **SEE ATTACHED LOCATION SCHEDULE**

9. NOTIFICATION OF CLAIMS TO: **E-MAIL: TPAClaims@us.davies-group.com PHONE: (877) 871-7344**

10. CHOICE OF LAW AND JURISDICTION:

THIS POLICY AND ALL DISPUTES ARISING FROM THE HANDLING OF ANY CLAIM UNDER THIS POLICY ARE GOVERNED EXCLUSIVELY BY THE NATIONAL FLOOD INSURANCE ACT OF 1968, AS AMENDED (42 USC 4001, ET SEQ.) AND FEDERAL COMMON LAW.

THE TERMS OF THIS POLICY WHICH ARE IN CONFLICT WITH THE STATUTES OF THE STATE WHEREIN THIS POLICY IS ISSUED OR WITH FEDERAL FLOOD INSURANCE LAWS OR REGULATIONS ARE HEREBY AMENDED TO CONFORM TO SUCH STATUTES, LAWS, OR REGULATIONS AS MAY BE APPLICABLE. FEDERAL LAW SHALL CONTROL ANY CONFLICT BETWEEN STATE AND FEDERAL LAW.

11. SERVICE OF SUIT NOMINEE: **REFER TO SERVICE OF SUIT REF NMA1998 LOCATED WITHIN POLICY FORM**

12. RISK ASSESSMENT SUMMARY: **ALL VALUES USED TO RATE THIS POLICY ARE BASED ON THOSE PROVIDED ON THE SIGNED POLICY APPLICATION ATTACHED AND A PART OF THIS POLICY.**

13. PRIVATE FLOOD LENDER COMPLIANCE CONFIRMATION:

This policy meets the definition of Private Flood Insurance contained in 42 U.S.C. 4012a(b)(7) and the corresponding regulation.

DATED: 9/02/2025

PRIVATE FLOOD INSURANCE PROGRAM STANDARD FLOOD INSURANCE POLICY
GENERAL PROPERTY FORM

1. INSURING CLAUSE

Subject to the limitations, terms and conditions contained in this Policy or added hereto, the Underwriters agree to indemnify the Assured named in the Schedule herein in respect of Direct Physical loss or damage to the property described in Item 6 of the Schedule while located or contained as described in the Schedule, occurring during the period stated in the Schedule and caused by any such perils as are set forth in Item 4 of the Schedule.

Underwriters agree that in no event would a loss be denied under this Private Flood Insurance Program Standard Flood Insurance Policy General Property Form that would have been settled under the FEMA National Flood Insurance program Standard Flood Insurance Policy General property Form.

2. LIMITS

The limits of Underwriters Liability shall be those set forth in Item 8 of the Schedule under the designation "LIMITS" and the Underwriters shall be liable to pay the ultimate net loss up to the full amount of such "LIMITS".

3. CANCELLATION AND NON-RENEWAL

We may cancel or non-renew this certificate by providing not less than forty-five (45) days' advance written notice to both the insured and any mortgagee listed on the policy. If we cancel or non-renew this certificate, coverage provided for the described location(s) shall remain in force until the later of expiration, non-renewal or cancellation of coverage, provided you have paid the applicable premium.

In the case that this policy is not acceptable to the Mortgagee and the Mortgagee has confirmed this, in writing within 45 days of the policy effective date, Underwriters agree to cancel this policy flat from inception.

4. DEFINITIONS

(a) Policy Year: The words "Policy year" shall be understood to mean the period in Item 3 of the Schedule.

5. APPLICATION OF RECOVERIES

All salvages, recoveries or payments recovered or received subsequent to loss settlement under this Policy shall be applied as if recovered or received prior to such settlement and all necessary adjustments shall then be made between the Assured and the Underwriters, provided always that nothing in this Policy shall be construed to mean that losses under this Policy are not recoverable until the Assured's ultimate net loss has been finally ascertained.

6. NOTIFICATION OF CLAIMS

The Assured upon knowledge of any occurrence likely to give rise to a claim hereunder shall give immediate written advice thereof to the person(s) or firm named for the purpose in Item 9 of the Schedule.

ADDITIONAL WORDINGS AND CLAUSES

AVAILABILITY OF FLOOD INSURANCE COVERAGE UNDER THE NATIONAL FLOOD INSURANCE PROGRAM

Similar coverage as contained in this policy is available from insurance agents representing the FEMA National Flood Insurance Program. You can locate an agent at www.floodsmart.gov.

SANCTION LIMITATION AND EXCLUSION CLAUSE

No (re)insurer shall be deemed to provide cover and no (re)insurer shall be liable to pay any claim or provide any benefit hereunder to the extent that the provision of such cover, payment of such claim or provision of such benefit would expose that (re)insurer to any sanction, prohibition or restriction under United Nations' resolutions or the trade or economic sanctions, laws or regulations of the European Union, United Kingdom or United States of America.

LMA3100A
05 October 2023

SEVERAL LIABILITY CLAUSE

PLEASE NOTE – This notice contains important information. PLEASE READ CAREFULLY

The liability of an insurer under this contract is several and not joint with other insurers party to this contract. An insurer is liable only for the proportion of liability it has underwritten. An insurer is not jointly liable for the proportion of liability underwritten by any other insurer. Nor is an insurer otherwise responsible for any liability of any other insurer that may underwrite this contract.

The proportion of liability under this contract underwritten by an insurer (or, in the case of a Lloyd's syndicate, the total of the proportions underwritten by all the members of the syndicate taken together) is shown in this contract.

In the case of a Lloyd's syndicate, each member of the syndicate (rather than the syndicate itself) is an insurer. Each member has underwritten a proportion of the total shown for the syndicate (that total itself being the total of the proportions underwritten by all the members of the syndicate taken together). The liability of each member of the syndicate is several and not joint with other members. A member is liable only for that member's proportion. A member is not jointly liable for any other member's proportion. Nor is any member otherwise responsible for any liability of any other insurer that may underwrite this contract. The business address of each member is Lloyd's, One Lime Street, London EC3M 7HA. The identity of each member of a Lloyd's syndicate and their respective proportion may be obtained by writing to Market Services, Lloyd's, at the above address.

Although reference is made at various points in this clause to "this contract" in the singular, where the circumstances so require this should be read as a reference to contracts in the plural.

07/03/08
LMA5096 (Combined Certificate)

PROPERTY CYBER ENDORSEMENT

- 1 Notwithstanding any provision to the contrary within this Policy or any endorsement thereto this Policy excludes any:
 - 1.1 Cyber Loss, unless subject to the provisions of paragraph 2;
regardless of any other cause or event contributing concurrently or in any other sequence thereto.
- 2 Subject to all the terms, conditions, limitations and exclusions of this Policy or any endorsement thereto, this Policy covers physical loss or physical damage to property insured under this Policy caused by a Flood (as defined in the policy form attached hereto) which directly results from a Cyber Incident or Cyber Act.
- 3 In the event any portion of this endorsement is found to be invalid or unenforceable, the remainder shall remain in full force and effect.
- 4 This endorsement supersedes and, if in conflict with any other wording in the Policy or any endorsement thereto having a bearing on Cyber Loss, replaces that wording.

Definitions

- 5 Cyber Loss means any loss, damage, liability, claim, cost or expense of whatsoever nature directly or indirectly caused by, contributed to by, resulting from, arising out of or in connection with any Cyber Act or Cyber Incident including, but not limited to, any action taken in controlling, preventing, suppressing or remediating any Cyber Act or Cyber Incident.
- 6 Cyber Act means an unauthorised, malicious or criminal act or series of related unauthorised, malicious or criminal acts, regardless of time and place, or the threat or hoax thereof involving access to, processing of, use of or operation of any Computer System.
- 7 Cyber Incident means:
 - 7.1 any error or omission or series of related errors or omissions involving access to, processing of, use of or operation of any Computer System; or
 - 7.2 any partial or total unavailability or failure or series of related partial or total unavailability or failures to access, process, use or operate any Computer System.
- 8 Computer System means:
 - 8.1 any computer, hardware, software, communications system, electronic device (including, but not limited to, smart phone, laptop, tablet, wearable device), server, cloud or microcontroller including any similar system or any configuration of the aforementioned and including any associated input, output, data storage device, networking equipment or back up facility,

owned or operated by the Insured or any other party.

PRIVACY POLICY STATEMENT

UNDERWRITERS

The Underwriters want you to know how we protect the confidentiality of your non-public personal information. We want you to know how and why we use and disclose the information that we have about you. The following describes our policies and practices for securing the privacy of our current and former customers.

INFORMATION WE COLLECT

The non-public personal information that we collect about you includes, but is not limited to:

- Information contained in applications or other forms that you submit to us, such as name, address, and social security number
- Information about your transactions with our affiliates or other third-parties, such as balances and payment history
- Information we receive from a consumer-reporting agency, such as credit-worthiness or credit history

INFORMATION WE DISCLOSE

We disclose the information that we have when it is necessary to provide our products and services. We may also disclose information when the law requires or permits us to do so.

CONFIDENTIALITY AND SECURITY

Only our employees and others who need the information to service your account have access to your personal information. We have measures in place to secure our paper files and computer systems.

RIGHT TO ACCESS OR CORRECT YOUR PERSONAL INFORMATION

You have a right to request access to or correction of your personal information that is in our possession.

CONTACTING US

If you have any questions about this privacy notice or would like to learn more about how we protect your privacy, please contact the agent or broker who handled this insurance. We can provide a more detailed statement of our privacy practices upon request.

06/03
LSW1135B (amended)

SERVICE OF SUIT CLAUSE (U.S.A.)

It is agreed that in the event of the failure of the Insurer hereon to pay any amount claimed to be due hereunder, the Insurers hereon, at the request of the (Re)insured, will submit to the jurisdiction of a Court of competent jurisdiction within the United States. Nothing in this Clause constitutes or should be understood to constitute a waiver of Insurers' rights to commence an action in any Court of competent jurisdiction in the United States, to remove an action to a United States District Court, or to seek a transfer of a case to another Court as permitted by the laws of the United States or of any State in the United States.

It is further agreed that service of process in such suit may be made upon **Underwriters at Lloyd's** by notifying:

In Respects of Risks in All States:

**Lloyd's America, Inc.
Attn: Legal Department
280 Park Avenue
East Tower, 25th Floor
New York, NY 10017 USA**

And It is further agreed that service of process in such suit may be made upon **Hamilton Insurance DAC** and **Great Lakes Insurance SE** by notifying:

In Respects of California Risks:

**Foley & Lardner LLP
555 California Street, Suite 1700
San Francisco, CA 94104-1520 USA**

In Respects of Risks in All Other States:

**Mendes and Mount
750 Seventh Avenue
New York, NY 10019-6829 USA**

And It is further agreed that service of process in such suit may be made upon **HDI Global Specialty SE** by notifying:

In Respects of Risks in All States:

**Mendes and Mount
750 Seventh Avenue
New York, NY 10019-6829 USA**

and that in any suit instituted against any one of them upon this contract, Insurers will abide by the final decision of such Court or of any Appellate Court in the event of an appeal.

The above-named are authorized and directed to accept service of process on behalf of Insurers in any such suit and/or upon the request of the (Re)insured.

Further, pursuant to any statute of any state, territory or district of the United States which makes provision therefor, Insurers hereon hereby designate the Superintendent, Commissioner or Director of Insurance or other officer specified for that purpose in the statute, or his successor or successors in office, as their true and lawful attorney upon whom may be served any lawful process in any action, suit or proceeding instituted by or on behalf of the Insured (or Reinsured) or any beneficiary hereunder arising out of this contract of insurance (or reinsurance), and hereby designate the above-named as the person to whom the said officer is authorized to mail such process or a true copy thereof.

Munich Re Specialty – North America

Data Protection Short Form Privacy Notice

Munich Re Specialty – North America is a trading name of Bell & Clements Limited. Where “MRS-NA” is used in this Privacy Notice it means Bell & Clements Limited.

This Privacy Notice is designed to help you understand how MRS-NA (“we” or “us”) process your (Non-Public) Personal Information in relation to your insurance.

Who we are

MRS-NA act as intermediaries facilitating the placement and purchase of insurance.

As an insurance intermediary, our role is to act as a bridge between your insurance representative, (insurance broker or agent) and the insurance provider.

The basics

When arranging your insurance coverage, your insurance broker or agent will provide us with (Non-Public) Personal Information necessary for arranging your insurance cover, which we will collect and use in line with our legal obligations under various Data Protection legislation.

This document is designed to help you understand how we process your (Non-Public) Personal Information for insurance purposes.

The information we may receive from your insurance broker or agent includes the following (Non-Public) Personal Information and Sensitive (Non-Public) Personal Information (Special Categories of Personal Data):

(Non-Public) Personal Information:

- your name
- date of birth
- address
- contact number
- email address
- your Social Security Number
- financial information
- any other information pertinent in connection with your insurance cover.

Sensitive (Non-Public) Personal Information (Special Categories of Personal Data)

- criminal convictions you may have
- information on your health

This information may also be shared with and used by a number of third parties in the insurance sector for example, insurers, agents or brokers (insurance intermediaries), services providers, reinsurers, loss adjusters, sub-contractors, third-party auditors, regulators, law enforcement agencies, fraud and crime prevention and detection agencies and compulsory insurance databases.

We will only disclose your (Non-Public) Personal Information in connection with the insurance cover provided and to the extent required or permitted by law.

Other people's details you provide to us

Where you provide us or your insurance broker or agent with details about other people, you must share this MRS-NA Data Protection Short Form Privacy Notice with them.

Confidentiality and Security

Your privacy is important to us and we follow strict security and organisational procedures in the processing, storage and destruction of your information.

Contacting us and your rights

You have rights in relation to the information we hold about you, including the right to access your information.

If you wish to exercise your rights, discuss how we use your information or request a copy of our privacy notices, please contact us using the details provide below.

Address: Data Protection Officer
 Bell & Clements Limited
 1 Fen Court
 London, EC3M 5BN
 United Kingdom
Telephone: +44 (0) 20 3003 7000
Email: dataprotection@bellandclements.co.uk

Our full privacy notices (UK GDPR and CCPA notices) are available to be viewed at <https://www.munichre.com/specialty/north-america/en/solutions/binding-authorities/general/privacy-statement.html>

GREAT LAKES INSURANCE SE

DATA PROTECTION SHORT FORM PRIVACY NOTICE

This Privacy Notice is designed to help you understand how Great Lakes Insurance SE process your (Non-Public) Personal Information in relation to your insurance.

Who we are

Great Lakes Insurance SE (“we” or “us”) is the provider of your insurance. You may have purchased your insurance through another party, such as another insurance broker or through an intermediary used to place your insurance.

The basics

When arranging your insurance coverage, we collect (either indirectly or directly) and use (Non-Public) Personal Information about you necessary to provide insurance cover. We will collect and use your (Non-Public) Personal Information in line with our legal obligations under various Data Protection legislation.

This document is designed to help you understand how we process your (Non-Public) Personal Information for insurance purposes.

The information we **may** receive includes the following (Non-Public) Personal Information and Sensitive (Non-Public) Personal Information (Special Categories of Personal Data):

(Non-Public) Personal Information:

- your name
- date of birth
- address
- contact number
- email address
- your Social Security Number
- financial information
- any other information pertinent in connection with your insurance cover.

Sensitive (Non-Public) Personal Information (Special Categories of Personal Data)

- criminal convictions you may have
- information on your health

This information may also be shared with and used by a number of third parties in the insurance sector for example, insurers, agents or brokers, services providers, reinsurers, loss adjusters, sub-contractors, third-party auditors, regulators, law enforcement agencies, fraud and crime prevention and detection agencies and compulsory insurance databases. We will only disclose your (Non-Public) Personal Information in connection with the insurance cover provided and to the extent required or permitted by law.

Other people's details you provide to us

Where you provide us or your insurance broker or agent with details about other people, you must share this Great Lakes Insurance SE Data Protection Short Form Privacy Notice with them.

Confidentiality and Security

Your privacy is important to us and we follow strict security and organisational procedures in the processing, storage and destruction of your information.

Contacting us and your rights

You have rights in relation to the information we hold about you, including the right to access your information.

If you wish to exercise your rights, discuss how we use your information or request a copy of our privacy notices, please contact us using the details below:

Address: Data Protection Officer
 Great Lakes Insurance SE
 1 Fen Court
 London, EC3M 5BN
 United Kingdom
Telephone: +44 (0) 20 3003 7000
Email: dataprotection@glise.com

Our full privacy notices (UK GDPR and CCPA notices) are available to be viewed at <https://www.munichre.com/en/general/privacy.html>

- ❖ Move down to the middle of the page until you find the header “Data Protection information structured by Munich Re Group entities and Topics”.
- ❖ On the table under this heading, click on ‘Entity’ – this will change the list of documents in the table.
- ❖ Move to the bottom of the table where you will find Great Lakes Insurance SE (GLISE) and Great Lakes Insurance UK Limited named.
- ❖ Click on Great Lakes Insurance SE (GLISE) and Great Lakes Insurance UK Limited to reveal the privacy notices for that entity.
- ❖ Click on the name of the document to view the Privacy Notice.

HDI Global Specialty SE
PRIVACY NOTICE

HDI Global Specialty SE (HDI Global Specialty) is an insurance company acting through its UK Branch which is situated at 20 Gracechurch Street, London, EC3V 0BG, United Kingdom . It is a Data Controller as defined under the UK General Data Protection Regulation and UK Data Protection Act 2018 ('GDPR').

HDI Global Specialty's notice on how it may collect and deal with your data and how it may be dealt with may be found at the following link: <https://www.hdi.global/legal/privacy/>.

INFORMATION

THIS POLICY MEETS ALL OF THE PROVISIONS REQUIRED BY THE TITLE II—FLOOD INSURANCE

Subtitle A—Flood Insurance Reform and Modernization
This subtitle may be cited as the “Biggert-Waters Flood Insurance Reform Act of 2012”

SEC. 100239. USE OF PRIVATE FLOOD INSURANCE TO SATISFY MANDATORY PURCHASE REQUIREMENT

“(7) PRIVATE FLOOD INSURANCE DEFINED.—In this sub-section, the term ‘private flood insurance’ means an insurance policy that—

“(A) is issued by an insurance company that is—

“(i) licensed, admitted, or otherwise approved to engage in the business of insurance in the State or jurisdiction in which the insured building is located, by the insurance regulator of that State or jurisdiction;

or

“(ii) in the case of a policy of difference in conditions, multiple peril, all risk, or other blanket coverage insuring non-residential commercial property, is recognized, or not disapproved, as a surplus lines insurer by the insurance regulator of the State or jurisdiction where the property to be insured is located;

“(B) provides flood insurance coverage which is at least as broad as the coverage provided under a standard flood insurance policy under the national flood insurance program, including when considering deductibles, exclusions, and conditions offered by the insurer;

“(C) includes—

“(i) a requirement for the insurer to give 45 days written notice of cancellation or non-renewal of flood

insurance coverage to—

“(I) the insured; and

“(II) the regulated lending institution or Federal agency lender;

“(ii) information about the availability of flood insurance coverage under the national flood insurance

program;

“(iii) a mortgage interest clause similar to the clause contained in a standard flood insurance policy under the national flood insurance program; and

“(iv) a provision requiring an insured to file suit not later than 1 year after date of a written denial of all or part of a claim under the policy; and

“(D) contains cancellation provisions that are as restrictive as the provisions contained in a standard flood insurance policy under the national flood insurance program.”.

Private Flood Insurance Program Standard Flood Insurance Policy General Property Form

Summary of changes from the National Flood Insurance Program Standard Flood Insurance Policy General Property Form

- 1/ In respect of the Expense Constant charge as defined in Section II. Sub-section B.15. of the PFIP Flood Insurance Policy, the insured is not responsible for this charge.

As a note, Expense Constant has also been removed from the FEMA NFIP Standard Flood Insurance Policy. If you would like a copy of the Final Rule eliminating this coverage from the FEMA NFIP policy dated 4th April 2003, please request this from Croton Stokes Wilson Holden Ltd.

- 2/ In respect of the Federal Policy Fee as defined in Section II. Sub-section B.16. of the PFIP Flood Insurance Policy, the insured is not responsible for this fee.

- 3/ “**Policy Fee**” is added to Section II as Sub-section B.30. and is defined as follows:

30. Policy Fee means a flat charge you must pay on each new or renewal **policy**.

- 4/ “**PFIP**” is added to Section II as Sub-section B.31. and is defined as follows:

31. Private Flood Insurance Policy (“PFIP”) means this **policy**.

- 5/ In respect of Section III. D. 3. a. (1) (a), this is removed and replaced with the following:

(a) The structure is covered by a contract of flood insurance issued under the **PFIP**.

- 6/ In respect of Section III. D. 3. a. (1) (d), “**NFIP**” is removed and replaced with “**NFIP** and, or **PFIP**”.

- 7/ In respect of Section VII.B. 1. d., “**NFIP**” is removed and replaced with “**PFIP**”.

- 8/ In respect of Section VII.B. 1. d., the final sentence “relating to this **policy** or any other **NFIP** insurance” is removed and replaced with the following:

relating to this **policy** or any other **PFIP** insurance.

- 9/ In respect of Section VII. D, reference to the “Federal Insurance Administrator” is removed and replaced with “Underwriters”.

- 10/ In respect of Section VII. T. 2. b. (2), the sentence “If any of these allowable structures are insurable buildings under the **NFIP** and are insured under the **NFIP**, they will not be eligible for the benefits of this paragraph **T.2.**” is removed and replaced with the following:

If any of these allowable structures are insurable buildings under the **NFIP** and are insured under the **PFIP**, they will not be eligible for the benefits of this paragraph **T.2.**

- 11/ In respect of Section VII. T. 2. c., reference to “FEMA” is removed and replaced with “Underwriters”.

- 12/** In respect of Section VII. T. 2. e. (2), reference to “FEMA” is removed and replaced with “FEMA and Underwriters”.
- 13/** In respect of Section VII. T. 2. g, reference to “**NFIP**” is removed and replaced with “**NFIP** and/or **PFIP**”.
- 14/** In respect of Section VII. U. 1.and U. 2., “**NFIP policy**” is removed and replaced with “**PFIP policy**”.
- 15/** In respect of Section IX. **WHAT LAW GOVERNS**, this is removed and replaced by Item 10 of the policy SCHEDULE.

Private Flood Insurance Program

Standard Flood Insurance Policy

General Property Form

PLEASE READ THE POLICY CAREFULLY. THE FLOOD INSURANCE PROVIDED IS SUBJECT TO LIMITATIONS, RESTRICTIONS, AND EXCLUSIONS.

THIS POLICY PROVIDES NO COVERAGE:

- 1 IN A REGULAR PROGRAM COMMUNITY, FOR A RESIDENTIAL CONDOMINIUM BUILDING, AS DEFINED IN THIS POLICY; AND
- 2 EXCEPT FOR PERSONAL PROPERTY COVERAGE, FOR A UNIT IN A CONDOMINIUM BUILDING.

I. AGREEMENT

We will pay you for **direct physical loss by or from flood** to your insured property if you:

1. Have paid the correct premium;
2. Comply with all terms and conditions of this **policy**; and
3. Have furnished accurate information and statements.

We have the right to review the information you give us at any time and to revise your **policy** based on our review.

II. DEFINITIONS

- A.** In this **policy**, "you" and "your" refer to the insured(s) shown on the **Declarations Page** of this **policy** and your spouse, if a resident of the same household. "Insured(s)" includes: Any mortgagee and loss payee named in the **Application** and **Declarations Page**, as well as any other mortgagee or loss payee determined to exist at the time of loss in the order of precedence. "We," "us," and "our" refer to the insurer.

Some definitions are complex because they are provided as they appear in the law or regulations, or result from court cases. The precise definitions are intended to protect you.

Flood, as used in this flood insurance **policy**, means:

1. A general and temporary condition of partial or complete inundation of two or more acres of normally dry land area or of two or more properties (at least one of which is your property) from:
 - a. Overflow of inland or tidal waters;
 - b. Unusual and Rapid accumulation or runoff of surface waters from any source;
 - c. **Mudflow**
2. Collapse or subsidence of land along the shore of a lake or similar body of water as a result of erosion or undermining caused by waves or currents of water exceeding anticipated cyclical levels that result in a **flood** as defined in **A.1.a.** above.

B. The following are the other key definitions that we use in this **policy**:

1. **Act.** The National Flood Insurance Act of 1968 and any amendments to it.
2. **Actual Cash Value.** The cost to replace an insured item of property at the time of loss, less the value of its physical depreciation.
3. **Application.** The statement made and signed by you or your agent in applying for this **policy**. The **application** gives information we use to determine the eligibility of the risk, the kind of **policy** to be issued, and the correct premium payment. The **application** is part of this flood insurance **policy**. For us to issue you a **policy**, the correct premium payment must accompany the **application**.
4. **Base Flood.** A **flood** having a one percent chance of being equaled or exceeded in any given year.
5. **Basement.** Any area of the **building**, including any sunken room or sunken portion of a room, having its floor below ground level (subgrade) on all sides.
6. **Building.**
 - a. A structure with two or more outside rigid walls and a fully secured roof, that is affixed to a permanent site;
 - b. A manufactured home (a "manufactured home," also known as a mobile home, is a structure: built on a permanent chassis, transported to its site in one or more sections, and affixed to a permanent foundation); or
 - c. A travel trailer without wheels, built on a chassis and affixed to a permanent foundation, that is regulated under the community's floodplain management and building ordinances or laws.

Building does not mean a gas or liquid storage tank or a recreational vehicle, park trailer, or other similar vehicle, except as described in **B.6.c.** above.

7. **Cancellation.** The ending of the insurance coverage provided by this policy before the expiration date.
8. **Condominium.** That form of ownership of real property in which each **unit** owner has an undivided interest in common elements.

9. **Condominium Association.** The entity made up of the **unit** owners responsible for the maintenance and operation of:
- a. Common elements owned in undivided shares by **unit** owners; and
 - b. Other real property in which the **unit** owners have use rights;
- where membership in the entity is a required condition of unit ownership.
10. **Declarations Page.** A computer-generated summary of information you provided in the **application** for insurance. The **Declarations Page** also describes the term of the **policy**, limits of coverage, and displays the premium and our name. The **Declarations Page** is a part of this flood insurance **policy**.
11. **Described Location.** The location where the insured **building(s)** or personal property are found. The **described location** is shown on the **Declarations Page**.
12. **Direct Physical Loss By or From Flood.** Loss or damage to insured property, directly caused by a **flood**. There must be evidence of physical changes to the property.
13. **Elevated Building.** A **building** that has no **basement** and that has its lowest elevated floor raised above ground level by foundation walls, shear walls, posts, piers, pilings, or columns.
14. **Emergency Program.** The initial phase of a community's participation in the **National Flood Insurance Program**. During this phase, only limited amounts of insurance are available under the **Act**.
15. **Expense Constant.** The insured is not responsible for a flat charge you must pay on each new or renewal **policy** to defray the expenses of the Federal Government related to flood insurance.
16. **Federal Policy Fee.** The insured is not responsible for a flat charge you must pay on each new or renewal **policy** to defray certain administrative expenses incurred in carrying out the **National Flood Insurance Program**. This fee covers expenses not covered by the **expense constant**.
17. **Improvements.** Fixtures, alterations, installations, or additions comprising a part of the insured **building** or the apartment in which you reside.
18. **Mudflow.** A river of liquid and flowing mud on the surfaces of normally dry land areas, as when earth is carried by a current of water. Other earth movements, such as landslide, slope failure, or a saturated soil mass moving by liquidity down a slope, are not **mudflows**.
19. **National Flood Insurance Program (NFIP).** The program of flood insurance coverage and floodplain management administered under the **Act** and applicable Federal regulations in Title 44 of the Code of Federal Regulations, Subchapter B.
20. **Policy.** The entire written contract between you and us. It includes:
- a. This printed form;
 - b. The **application** and **Declarations Page**;
 - c. Any endorsement(s) that may be issued; and

- d. Any renewal certificate indicating that coverage has been instituted for a new **policy** and new **policy** term.

Only one **building**, which you specifically described in the **application**, may be insured under this **policy**.

- 21. **Pollutants.** Substances that include, but are not limited to, any solid, liquid, gaseous, or thermal irritant or contaminant, including smoke, vapor, soot, fumes, acids, alkalis, chemicals, and waste. "Waste" includes, but is not limited to, materials to be recycled, reconditioned, or reclaimed.
- 22. **Post-FIRM Building.** A **building** for which construction or substantial improvement occurred after December 31, 1974, or on or after the effective date of an initial Flood Insurance Rate Map (FIRM), whichever is later.
- 23. **Probation Premium.** A flat charge you must pay on each new or renewal **policy** issued covering property in a community that the NFIP has placed on probation under the provisions of 44 CFR 59.24.
- 24. **Regular Program.** The final phase of a community's participation in the **National Flood Insurance Program**. In this phase, a Flood Insurance Rate Map is in effect and full limits of coverage are available under the **Act**.
- 25. **Residential Condominium Building.** A **building**, owned and administered as a **condominium**, containing one or more family **units** and in which at least 75 percent of the floor area is residential.
- 26. **Special Flood Hazard Area.** An area having special **flood**, or **mudflow**, and/or **flood**-related erosion hazards, and shown on a Flood Hazard Boundary Map or Flood Insurance Rate Map as Zone A, AO, A1-A30, AE, A99, AH, AR, AR/A, AR/AE, AR/AH, AR/AO, AR/A1-A30, V1-V30, VE, or V.
- 27. **Stock.** Merchandise held in storage or for sale, raw materials, and in-process or finished goods, including supplies used in their packing or shipping. **Stock** does not include any property not covered under Section IV. Property Not Covered, except the following:
 - a. Parts and equipment for self-propelled vehicles;
 - b. Furnishings and equipment for watercraft;
 - c. Spas and hot-tubs, including their equipment; and
 - d. Swimming pool equipment.
- 28. **Unit.** A single-family **unit** you own in a **condominium building**.
- 29. **Valued Policy.** A **policy** in which the insured and the insurer agree on the value of the property insured, that value being payable in the event of a total loss. The Standard Flood Insurance Policy is not a **valued policy**.
- 30. **Policy Fee** means a flat charge you must pay on each new or renewal **policy**.
- 31. **Private Flood Insurance Policy ("PFIP")** means this **policy**.

III. PROPERTY COVERED

A. COVERAGE A - BUILDING PROPERTY

We insure against **direct physical loss by or from flood** to:

1. The **building** described on the **Declarations Page** at the **described location**. If the **building** is a **condominium building** and the named insured is the **condominium association**, Coverage **A** includes all units within the **building** and the **improvements** within the **units**, provided the **units** are owned in common by all **unit** owners.
2. We also insure **building** property for a period of 45 days at another location as set forth in **III.C.2.b.**, Property Removed to Safety.
3. Additions and extensions attached to and in contact with the **building** by means of a rigid exterior wall, a solid load-bearing interior wall, a stairway, an elevated walkway, or a roof. At your option, additions and extensions connected by any of these methods may be separately insured. Additions and extensions attached to and in contact with the **building** by means of a common interior wall that is not a solid load-bearing wall are always considered part of the **building** and cannot be separately insured.
4. The following fixtures, machinery, and equipment, which are covered under Coverage **A** only:
 - a. Awnings and canopies;
 - b. Blinds;
 - c. Carpet permanently installed over unfinished flooring;
 - d. Central air conditioners;
 - e. Elevator equipment;
 - f. Fire extinguishing apparatus;
 - g. Fire sprinkler systems;
 - h. Walk-in freezers;
 - i. Furnaces;
 - j. Light fixtures;
 - k. Outdoor antennas and aerials attached to **buildings**;
 - l. Permanently installed cupboards, bookcases, paneling, and wallpaper;
 - m. Pumps and machinery for operating pumps;
 - n. Ventilating equipment;
 - o. Wall mirrors, permanently installed; and

- p. In the **units** within the **building**, installed:
- (1) Built-in dishwashers;
 - (2) Built-in microwave ovens;
 - (3) Garbage disposal units;
 - (4) Hot water heaters, including solar water heaters;
 - (5) Kitchen cabinets;
 - (6) Plumbing fixtures;
 - (7) Radiators;
 - (8) Ranges;
 - (9) Refrigerators; and
 - (10) Stoves.
5. Materials and supplies to be used for construction, alteration, or repair of the **building** or a detached garage while the materials and supplies are stored in a fully enclosed **building** at the **described location** or on an adjacent property.
6. A **building** under construction, alteration, or repair at the **described location**.
- a. If the structure is not yet walled or roofed as described in the definition for **building** (see **II.B. 6.a.**) then coverage applies:
 - (1) Only while such work is in progress; or
 - (2) If such work is halted, only for a period of up to 90 continuous days thereafter.
 - b. However, coverage does not apply until the **building** is walled and roofed if the lowest floor, including the **basement** floor, of a non-**elevated building** or the lowest elevated floor of an **elevated building** is:
 - (1) Below the **base flood** elevation in Zones AH, AE, A1-A30, AR, AR/AE, AR/AH, AR/A1-A30, AR/A, AR/AO; or
 - (2) Below the **base flood** elevation adjusted to include the effect of wave action in Zones VE or V1-V30.

The lowest floor levels are based on the bottom of the lowest horizontal structural member of the floor in Zones VE or V1-V30 and the top of the floor in Zones AH, AE, A1-A30, AR, AR/AE, AR/AH, AR/A1-A30, AR/A, AR/AO.
7. A manufactured home or a travel trailer as described in the Definitions section (see **II.B.6.b.** and **II.B.6.c.**).
- If the manufactured home or travel trailer is in a **special flood hazard area**, it must be anchored in the following manner at the time of the loss:
- a. By over-the-top or frame ties to ground anchors; or
 - b. In accordance with the manufacturer's specifications; or

c. In compliance with the community's floodplain management requirements;
unless it has been continuously insured by the **NFIP** at the same **described location** since September 30, 1982.

8. Items of property in a **building** enclosure below the lowest elevated floor of an **elevated post-FIRM building** located in Zones A1-A30, AE, AH, AR, AR/A, AR/AE, AR/AH, AR/A1-A30, V1-V30, or VE, or in a **basement**, regardless of the zone. Coverage is limited to the following:

a. Any of the following items, if installed in their functioning locations and, if necessary for operation, connected to a power source:

- (1) Central air conditioners;
- (2) Cisterns and the water in them;
- (3) Drywall for walls and ceilings in a **basement** and the cost of labor to nail it, unfinished and unfloated and not taped, to the framing;
- (4) Electrical junction and circuit breaker boxes;
- (5) Electrical outlets and switches;
- (6) Elevators, dumbwaiters, and related equipment, except for related equipment installed below the **base flood** elevation after September 30, 1987;
- (7) Fuel tanks and the fuel in them;
- (8) Furnaces and hot water heaters;
- (9) Heat pumps;
- (10) Non-flammable insulation in a **basement**;
- (11) Pumps and tanks used in solar energy systems;
- (12) Stairways and staircases attached to the **building**, not separated from it by elevated walkways;
- (13) Sump pumps;
- (14) Water softeners and the chemicals in them, water filters, and faucets installed as an integral part of the plumbing system;
- (15) Well water tanks and pumps;
- (16) Required utility connections for any item in this list; and
- (17) Footings, foundations, posts, pilings, piers, or other foundation walls and anchorage systems required to support a **building**.

b. Clean-up.

B. COVERAGE B - PERSONAL PROPERTY

1. If you have purchased personal property coverage, we insure, subject to **B.2., 3., and 4.** below, against **direct physical loss by or from flood** to personal property inside a fully enclosed insured **building**:
 - a. Owned solely by you, or in the case of a **condominium**, owned solely by the **condominium association** and used exclusively in the conduct of the business affairs of the **condominium association**; or
 - b. Owned in common by the **unit** owners of the **condominium association**.

We also insure such personal property for 45 days while stored at a temporary location as set forth in **III.C.2.b.**, Property Removed to Safety.

2. When this policy covers personal property, coverage will be either for household personal property or other than household personal property, while within the insured **building**, but not both.
 - a. If this policy covers household personal property, it will insure household personal property usual to a living quarters, that:
 - (1) Belongs to you, or a member of your household, or at your option:
 - (a) Your domestic worker;
 - (b) Your guest; or
 - (2) You may be legally liable for.
 - b. If this policy covers other than household personal property, it will insure your:
 - (1) Furniture and fixtures;
 - (2) Machinery and equipment;
 - (3) **Stock**; and
 - (4) Other personal property owned by you and used in your business, subject to **IV. Property Not Covered**

3. Coverage for personal property includes the following property, subject to **B.1.a and B.1.b** above, which is covered under Coverage **B** only:
 - a. Air conditioning units installed in the **building**;
 - b. Carpet, not permanently installed, over unfinished flooring;
 - c. Carpets over finished flooring;
 - d. Clothes washers and dryers;
 - e. "Cook-out" grills;
 - f. Food freezers, other than walk-in, and food in any freezer;
 - g. Outdoor equipment and furniture stored inside the insured **building**;

- h. Ovens and the like; and
 - i. Portable microwave ovens and portable dishwashers.
4. Coverage for items of property in a **building** enclosure below the lowest elevated floor of an **elevated post-FIRM building** located in Zones A1-A30, AE, AH, AR, AR/A, AR/AE, AR/AH, AR/A1-A30, V1-V30, or VE, or in a **basement**, regardless of the zone, is limited to the following items, if installed in their functioning locations and, if necessary for operation, connected to a power source:
 - a. Air conditioning units, portable or window type;
 - b. Clothes washers and dryers; and
 - c. Food freezers, other than walk-in, and food in any freezer.
5. **Special Limits.** We will pay no more than \$2,500 for any one loss to one or more of the following kinds of personal property:
 - a. Artwork, photographs, collectibles, or memorabilia, including but not limited to, porcelain or other figures, and sports cards;
 - b. Rare books or autographed items;
 - c. Jewelry, watches, precious and semiprecious stones, or articles of gold, silver, or platinum;
 - d. Furs or any article containing fur which represents its principal value.
6. We will pay only for the functional value of antiques.
7. If you are a tenant, you may apply up to 10 percent of Coverage **B** limit to **improvements**:
 - a. Made a part of the **building** you occupy; and
 - b. You acquired or made at your expense, even though you cannot legally remove them.

This coverage does not increase the amount of insurance that applies to insured personal property
8. If you are a condominium unit owner, you may apply up to 10 percent of the Coverage B limit to cover loss to interior:
 - a. Walls;
 - b. Floors; and
 - c. Ceilings;

that are not covered under a policy issued to the **condominium association** insuring the **condominium building**.

This coverage does not increase the amount of insurance that applies to insured personal property.
9. If you are a tenant, personal property must be inside the fully enclosed **building**.

C. COVERAGE C - OTHER COVERAGES

1. Debris Removal

- a. We will pay the expense to remove non-owned debris on or in insured property and owned debris anywhere.
- b. If you or a member of your household perform the removal work, the value of your work will be based on the Federal minimum wage.
- c. This coverage does not increase the Coverage **A** or Coverage **B** limit of liability.

2. Loss Avoidance Measures

a. Sandbags, Supplies, and Labor

- (1) We will pay up to \$1,000 for costs you incur to protect the insured **building** from a **flood** or imminent danger of **flood**, for the following:
 - (a) Your reasonable expenses to buy:
 - (i) Sandbags, including sand to fill them;
 - (ii) Fill for temporary levees;
 - (iii) Pumps; and
 - (iv) Plastic sheeting and lumber used in connection with these items; and
 - (b) The value of work, at the Federal minimum wage, that you perform.
- (2) This coverage for Sandbags, Supplies, and Labor applies only if damage to insured property by or from **flood** is imminent and the threat of **flood** damage is apparent enough to lead a person of common prudence to anticipate **flood** damage. One of the following must also occur:
 - (a) A general and temporary condition of flooding in the area near the **described location** must occur, even if the **flood** does not reach the insured **building**; or
 - (b) A legally authorized official must issue an evacuation order or other civil order for the community in which the insured **building** is located calling for measures to preserve life and property from the peril of **flood**.

This coverage does not increase the Coverage **A** or Coverage **B** limit of liability.

b. Property Removed to Safety

- (1) We will pay up to \$1,000 for the reasonable expenses you incur to move insured property to a place other than the **described location** that contains the property in order to protect it from **flood** or the imminent danger of **flood**.

Reasonable expenses include the value of work, at the Federal minimum wage, that you perform.

- (2) If you move insured property to a location other than the **described location** that contains the property, in order to protect it from **flood** or the imminent danger of **flood**, we will cover such property while at that location for a period of 45 consecutive days from the date you begin to move it there. The personal property that is moved must be placed in a fully enclosed **building** or otherwise reasonably protected from the elements.

Any property removed, including a moveable home described in **II.B.6.b.** and **c.**, must be placed above ground level or outside of the **special flood hazard area**.

This coverage does not increase the Coverage **A** or Coverage **B** limit of liability.

3. **Pollution Damage**

We will pay for damage caused by **pollutants** to covered property if the discharge, seepage, migration, release, or escape of the **pollutants** is caused by or results from flood. The most we will pay under this coverage is \$10,000. This coverage does not increase the Coverage **A** or Coverage **B** limits of liability. Any payment under this provision when combined with all other payments for the same loss cannot exceed the **replacement cost** or **actual cash value**, as appropriate, of the covered property. This coverage does not include the testing for, or the monitoring of **pollutants** unless required by law or ordinance.

D. **COVERAGE D – INCREASED COST OF COMPLIANCE**

1. **General**

This **policy** pays you to comply with a State or local floodplain management law or ordinance affecting repair or reconstruction of a structure suffering **flood** damage. Compliance activities eligible for payment are: elevation, floodproofing, relocation, or demolition (or any combination of these activities) of your structure. Eligible floodproofing activities are limited to:

- a. Nonresidential structures.
- b. Residential structures with **basements** that satisfy FEMA's standards published in the code of Federal Regulations [44 CFR 60.6 (b) or (c)].

2. **Limit of Liability**

We will pay you up to \$30,000 under this Coverage **D** – Increased Cost of Compliance, which only applies to **policies** with **building coverage** (Coverage **A**). Our payment of claims under Coverage **D** is in addition to the amount of coverage which you selected on the **application** and which appears on the **Declarations page**. But the maximum you can collect under this **policy** for both Coverage **A** – Building Property and Coverage **D** – Increased Cost of Compliance cannot exceed the maximum permitted under the **Act**. We do not charge a separate deductible for a claim under Coverage **D**.

3. **Eligibility**

- a. A structure covered under Coverage **A** -Building Property sustaining a loss caused by a **flood** as defined by this **policy** must:

- (1) Be a "repetitive loss structure." A repetitive loss structure is one that meets the following conditions:
 - (a) The structure is covered by a contract of flood insurance issued under the **PFIP**.
 - (b) The structure has suffered **flood** damage on two occasions during a 10-year period which ends on the date of the second loss.
 - (c) The cost to repair the **flood** damage, on average, equalled or exceeded 25 percent of the market value of the structure at the time of each **flood** loss.
 - (d) In addition to the current claim, the **NFIP** and, or **PFIP** must have paid the previous qualifying claim, and the State or community must have a cumulative, substantial damage provision or repetitive loss provision in its floodplain management law or ordinance being enforced against the structure; or
 - (2) Be a structure that has had **flood** damage in which the cost to repair equals or exceeds 50 percent of the market value of the structure at the time of the **flood**. The State or community must have a substantial damage provision in its floodplain management law or ordinance being enforced against the structure.
- b. This Coverage **D** pays you to comply with State or local floodplain management laws or ordinances that meet the minimum standards of the **National Flood Insurance Program** found in the Code of Federal Regulations at 44 CFR 60.3. We pay for compliance activities that exceed those standards under these conditions:
- (1) **3.a.(1)** above.
 - (2) Elevation or floodproofing in any risk zone to preliminary or advisory **base flood** elevations provided by FEMA which the State or local government has adopted and is enforcing for **flood**-damaged structures in such areas. (This includes compliance activities in B, C, X, or D zones which are being changed to zones with **base flood** elevations. This also includes compliance activities in zones where **base flood** elevations are being increased, and a **flood**-damaged structure must comply with the higher advisory **base flood** elevation.) Increased Cost of Compliance coverage does not apply to situations in B, C, X, or D zones where the community has derived its own elevations and is enforcing elevation or floodproofing requirements for **flood**-damaged structures to elevations derived solely by the community.
 - (3) Elevation or floodproofing above the **base flood** elevation to meet State or local "freeboard" requirements, i.e., that a structure must be elevated above the **base flood** elevation.
- c. Under the minimum **NFIP** criteria at 44 CFR 60.3 (b)(4), States and communities must require the elevation or floodproofing of structures in unnumbered A zones to the **base flood** elevation where elevation data is obtained from a Federal, State, or other source. Such compliance activities are also eligible for Coverage **D**.
- d. This coverage will also pay for the incremental cost, after demolition or relocation, of elevating or floodproofing a structure during its rebuilding at the same or another site to meet State or local floodplain management laws or ordinances, subject to Exclusion **D.5.g.** below.

- e. This coverage will also pay to bring a **flood**-damaged structure into compliance with State or local floodplain management laws or ordinances even if the structure had received a variance before the present loss from the applicable floodplain management requirements.

4. Conditions

- a. When a structure covered under Coverage **A** -Building Property sustains a loss caused by a **flood**, our payment for the loss under this Coverage **D** will be for the increased cost to elevate, floodproof, relocate, or demolish (or any combination of these activities) caused by the enforcement of current State or local floodplain management ordinances or laws. Our payment for eligible demolition activities will be for the cost to demolish and clear the site of the **building** debris or a portion thereof caused by the enforcement of current State or local floodplain management ordinances or laws. Eligible activities for the cost of clearing the site will include those necessary to discontinue utility service to the site and ensure proper abandonment of on-site utilities.
- b. When the **building** is repaired or rebuilt, it must be intended for the same occupancy as the present **building** unless otherwise required by current floodplain management ordinances or laws.

5. Exclusions

Under this Coverage **D** -Increased Cost of Compliance, we will not pay for:

- a. The cost to comply with any floodplain management law or ordinance in communities participating in the **Emergency Program**.
- b. The cost associated with enforcement of any ordinance or law that requires any insured or others to test for, monitor, clean up, remove, contain, treat, detoxify or neutralize, or in any way respond to, or assess the effects of **pollutants**.
- c. The loss in value to any insured **building** or other structure due to the requirements of any ordinance or law.
- d. The loss in residual value of the undamaged portion of a building demolished as a consequence of enforcement of any State or local floodplain management law or ordinance.
- e. Any Increased Cost of Compliance under this Coverage **D**:
 - (1) Until the **building** is elevated, floodproofed, demolished, or relocated on the same or to another premises; and
 - (2) Unless the **building** is elevated, floodproofed, demolished, or relocated as soon as reasonably possible after the loss, not to exceed 2 years.
- f. Any code upgrade requirements, e.g., plumbing or electrical wiring, not specifically related to the State or local floodplain management law or ordinance.
- g. Any compliance activities needed to bring additions or **improvements** made after the loss occurred into compliance with State or local floodplain management laws or ordinances.
- h. Loss due to any ordinance or law that you were required to comply with before the current loss.

- i. Any rebuilding activity to standards that do not meet the **NFIP's** minimum requirements. This includes any situation where the insured has received from the State or community a variance in connection with the current **flood** loss to rebuild the property to an elevation below the **base flood** elevation.
- j. Increased Cost of Compliance for a garage or carport.
- k. Any structure insured under an **NFIP** Group Flood Insurance Policy.
- l. Assessments made by a **condominium association** on individual **condominium unit** owners to pay increased costs of repairing commonly owned **buildings** after a **flood** in compliance with State or local floodplain management ordinances or laws.

6. Other Provisions

All other conditions and provisions of this **policy** apply.

IV. PROPERTY NOT COVERED

We do not cover any of the following property:

- 1. Personal property not inside the fully enclosed **building**;
- 2. A **building**, and personal property in it, located entirely in, on, or over water or seaward of mean high tide if it was constructed or substantially improved after September 30, 1982;
- 3. Open structures, including a **building** used as a boathouse or any structure or **building** into which boats are floated, and personal property located in, on, or over water;
- 4. Recreational vehicles other than travel trailers described in **II.B.6.c.**, whether affixed to a permanent foundation or on wheels;
- 5. Self-propelled vehicles or machines, including their parts and equipment. However, we do cover self-propelled vehicles or machines not licensed for use on public roads that are:
 - a. Used mainly to service the **described location**, or
 - b. Designed and used to assist handicapped persons, while the vehicles or machines are inside a building at the described location;
- 6. Land, land values, lawns, trees, shrubs, plants, growing crops, or animals;
- 7. Accounts, bills, coins, currency, deeds, evidences of debt, medals, money, scrip, stored value cards, postage stamps, securities, bullion, manuscripts, or other valuable papers;
- 8. Underground structures and equipment, including wells, septic tanks, and septic systems;

9. Those portions of walks, walkways, decks, driveways, patios, and other surfaces, all whether protected by a roof or not, located outside the perimeter, exterior walls of the insured **building**;
10. Containers, including related equipment, such as, but not limited to, tanks containing gases or liquids;
11. **Buildings or units** and all their contents if more than 49 percent of the **actual cash value** of the **building or unit** is below ground, unless the lowest level is at or above the **base flood** elevation and is below ground by reason of earth having been used as insulation material in conjunction with energy efficient building techniques;
12. Fences, retaining walls, seawalls, bulkheads, wharves, piers, bridges, and docks;
13. Aircraft or watercraft, or their furnishings and equipment;
14. Hot tubs and spas that are not bathroom fixtures, and swimming pools, and their equipment such as, but not limited to, heaters, filters, pumps, and pipes, wherever located;
15. Property not eligible for flood insurance pursuant to the provisions of the Coastal Barrier Resources Act and the Coastal Barrier Improvement Act and amendments to these acts;
16. Personal property owned by or in the care, custody, or control of a **unit** owner, except for the property of the type and under circumstances set forth under Coverage **B** – Personal Property;
17. A **residential condominium building** located in a **Regular Program** community.

V. EXCLUSIONS

- A.** We only provide coverage for **direct physical loss by or from flood**, which means that we do not pay you for:
1. Loss of revenue or profits;
 2. Loss of access to the insured property or **described location**;
 3. Loss of use of the insured property or **described location**;
 4. Loss from interruption of business or production;
 5. Any additional living expenses incurred while the insured **building** is being repaired or is unable to be occupied for any reason;
 6. The cost of complying with any ordinance or law requiring or regulating the construction, demolition, remodelling, renovation, or repair of property, including removal of any resulting debris. This exclusion does not apply to any eligible activities that we describe in Coverage **D** - Increased Cost of Compliance; or

7. Any other economic loss.
- B.** We do not insure a loss directly or indirectly caused by a **flood** that is already in progress at the time and date:
1. The **policy** term begins; or
 2. Coverage is added at your request.
- C.** We do not insure for loss to property caused directly by earth movement even if the earth movement is caused by **flood**. Some examples of earth movement that we do not cover are:
1. Earthquake;
 2. Landslide;
 3. Land subsidence;
 4. Sinkholes;
 5. Destabilization or movement of land that results from accumulation of water in subsurface land areas; or
 6. Gradual erosion.

We do, however, pay for losses from **mudflow** and land subsidence as a result of erosion that are specifically covered under our definition of **flood** (see **II.A.1.c.** and **II.A.2.**).

- D.** We do not insure for direct physical loss caused directly or indirectly by any of the following:
1. The pressure or weight of ice;
 2. Freezing or thawing;
 3. Rain, snow, sleet, hail, or water spray;
 4. Water, moisture, mildew, or mold damage that results primarily from any condition:
 - a. Substantially confined to the insured **building**; or
 - b. That is within your control, including but not limited to:
 - (1) Design, structural, or mechanical defects;
 - (2) Failure, stoppage, or breakage of water or sewer lines, drains, pumps, fixtures, or equipment; or
 - (3) Failure to inspect and maintain the property after a **flood** recedes;
 5. Water or waterborne material that:
 - a. Backs up through sewers or drains;
 - b. Discharges or overflows from a sump, sump pump, or related equipment; or
 - c. Seeps or leaks on or through the insured property;unless there is a flood in the area and the flood is the proximate cause of the sewer or drain backup, sump pump discharge or overflow, or seepage of water;

6. The pressure or weight of water unless there is a **flood** in the area and the **flood** is the proximate cause of the damage from the pressure or weight of water;
 7. Power, heating, or cooling failure unless the failure results from **direct physical loss by or from flood** to power, heating, or cooling equipment situated on the described location;
 8. Theft, fire, explosion, wind, or windstorm;
 9. Anything you or your Agent do or conspire to do to cause loss by **flood** deliberately; or
 10. Alteration of the insured property that significantly increases the risk of flooding.
- E. We do not insure for loss to any **building** or personal property located on land leased from the Federal Government, arising from or incident to the flooding of the land by the Federal Government, where the lease expressly holds the Federal Government harmless under flood insurance issued under any Federal Government program.

VI. DEDUCTIBLES

- A. When a loss is covered under this **policy**, we will pay only that part of the loss that exceeds the applicable deductible amount, subject to the limit of liability that applies. The deductible amount is shown on the **Declarations Page**.
- However, when a **building** under construction, alteration, or repair does not have at least two rigid exterior walls and a fully secured roof at the time of loss, your deductible amount will be two times the deductible that would otherwise apply to a completed **building**.
- B. In each loss from **flood**, separate deductibles apply to the **building** and personal property insured by this **policy**.
- C. No deductible applies to:
1. **III.C.2.** Loss Avoidance Measures; or
 2. **III.D.** Increased Cost of Compliance.

VII. GENERAL CONDITIONS

A. Pairs and Sets

In case of loss to an article that is part of a pair or set, we will have the option of paying you:

1. An amount equal to the cost of replacing the lost, damaged, or destroyed article, minus its depreciation; or
2. The amount that represents the fair proportion of the total value of the pair or set that the lost, damaged, or destroyed article bears to the pair or set.

B. Concealment or Fraud and Policy Voidance

1. With respect to all insureds under this **policy**, this **policy**:

- a. Is void;
- b. Has no legal force or effect;
- c. Cannot be renewed; and
- d. Cannot be replaced by a new **PFIP policy**;

if, before or after a loss, you or any other insured or your agent have at any time:

- (1) Intentionally concealed or misrepresented any material fact or circumstance;
- (2) Engaged in fraudulent conduct; or
- (3) Made false statements;

relating to this **policy** or any other **PFIP** insurance.

2. This **policy** will be void as of the date the wrongful acts described in **B.1.** above were committed.
3. Fines, civil penalties, and imprisonment under applicable Federal laws may also apply to the acts of fraud or concealment described above.
4. This **policy** is also void for reasons other than fraud, misrepresentation, or wrongful act. This **policy** is void from its inception and has no legal force under the following conditions:
 - a. If the property is located in a community that was not participating in the **NFIP** on the **policy's** inception date and did not join or re-enter the program during the **policy** term and before the loss occurred; or
 - b. If the property listed on the **application** is otherwise not eligible for coverage under the **NFIP**.

C. Other Insurance

1. If a loss covered by this **policy** is also covered by other insurance that includes **flood** coverage not issued under the **Act**, we will not pay more than the amount of insurance that you are entitled to for lost, damaged, or destroyed property insured under this **policy** subject to the following:
 - a. We will pay only the proportion of the loss that the amount of insurance that applies under this **policy** bears to the total amount of insurance covering the loss, unless **C.1.b.** or **c.** immediately below applies.
 - b. If the other policy has a provision stating that it is excess insurance, this **policy** will be primary.
 - c. This **policy** will be primary (but subject to its own deductible) up to the deductible in the other **flood** policy (except another policy as described in **C.1.b.** above). When the other deductible amount is reached, this **policy** will participate in the same proportion that the amount of insurance under this **policy** bears to the total amount of both policies, for the remainder of the loss.
2. If this **policy** covers a **condominium association** and there is a flood insurance **policy** in the name of a **unit** owner that covers the same loss as this **policy**, then this **policy** will be primary.

D. Amendments, Waivers, Assignment

This **policy** cannot be changed nor can any of its provisions be waived without the express written consent of the Underwriters. No action that we take under the terms of this **policy** can constitute a waiver of any of our rights. You may assign this **policy** in writing when you transfer title of your property to someone else, except under these conditions:

1. When this **policy** covers only personal property; or
2. When this **policy** covers a structure during the course of construction.

E. Cancellation of Policy by You

1. You may cancel this **policy** in accordance with the applicable rules and regulations of the **NFIP**.
2. If you cancel this **policy**, you may be entitled to a full or partial refund of premium also under the applicable rules and regulations of the **NFIP**.

F. Nonrenewal of the Policy by Us

Your **policy** will not be renewed:

1. If the community where your covered property is located stops participating in the **NFIP**; or
2. If your **building** has been declared ineligible under Section 1316 of the **Act**.

G. Reduction and Reformation of Coverage

1. If the premium we received from you was not enough to buy the kind and amount of coverage you requested, we will provide only the amount of coverage that can be purchased for the premium payment we received.
2. The **policy** can be reformed to increase the amount of coverage resulting from the reduction described in **G.1.** above to the amount you requested as follows:
 - a. Discovery of insufficient premium or incomplete rating information before a loss.
 - (1) If we discover before you have a **flood** loss that your premium payment was not enough to buy the requested amount of coverage, we will send you and any mortgagee or trustee known to us a bill for the required additional premium for the current **policy** term (or that portion of the current **policy** term following any endorsement changing the amount of coverage). If you or the mortgagee or trustee pay the additional premium within 30 days from the date of our bill, we will reform the **policy** to increase the amount of coverage to the originally requested amount effective to the beginning of the current **policy** term (or subsequent date of any endorsement changing the amount of coverage).
 - (2) If we determine before you have a **flood** loss that the rating information we have is incomplete and prevents us from calculating the additional premium, we will ask you to send the required information. You must submit the information within 60 days of our request. Once we determine the amount of additional premium for the current **policy** term, we will follow the procedure in **G.2.a.(1)** above.
 - (3) If we do not receive the additional premium (or additional information) by the date it is due, the amount of coverage can only be increased by endorsement subject to any appropriate waiting period.
 - b. Discovery of insufficient premium or incomplete rating information after a loss.
 - (1) If we discover after you have a **flood** loss that your premium payment was not enough to buy the requested amount of coverage, we will send you and any mortgagee or trustee known to us a bill for the required additional premium for the current and the prior **policy** terms. If you or the mortgagee or trustee pay the additional premium within 30 days from the date of our bill, we will reform the **policy** to increase the amount of coverage to the originally requested amount effective to the beginning of the prior **policy** term.
 - (2) If we discover after you have a **flood** loss that the rating information we have is incomplete and prevents us from calculating the additional premium, we will ask you to send the required information. You must submit the information before your claim can be paid. Once we determine the amount of additional premium for the current and prior **policy** terms, we will follow the procedure in **G.2.b.(1)** above.
 - (3) If we do not receive the additional premium by the date it is due, your flood insurance claim will be settled based on the reduced amount of coverage. The amount of coverage can only be increased by endorsement subject to any appropriate waiting period.
3. However, if we find that you or your agent intentionally did not tell us, or falsified, any important fact or circumstance or did anything fraudulent relating to this insurance, the provisions of Condition **B. Concealment or Fraud and Policy Voidance** apply.

H. Policy Renewal

1. This **policy** will expire at 12:01 a.m. on the last day of the **policy** term.
2. We must receive the payment of the appropriate renewal premium within 30 days of the expiration date.
3. If we find, however, that we did not place your renewal notice into the U.S. Postal Service, or if we did mail it, we made a mistake, e.g., we used an incorrect, incomplete, or illegible address, which delayed its delivery to you before the due date for the renewal premium, then we will follow these procedures:
 - a. If you or your agent notified us, not later than 1 year after the date on which the payment of the renewal premium was due, of non-receipt of a renewal notice before the due date for the renewal premium, and we determine that the circumstances in the preceding paragraph apply, we will mail a second bill providing a revised due date, which will be 30 days after the date on which the bill is mailed.
 - b. If we do not receive the premium requested in the second bill by the revised due date, then we will not renew the **policy**. In that case, the **policy** will remain an expired **policy** as of the expiration date shown on the **Declarations Page**.
4. In connection with the renewal of this **policy**, we may ask you during the **policy** term to recertify, on a Recertification Questionnaire we will provide to you, the rating information used to rate your most recent **application** for or renewal of insurance.

I. Conditions Suspending or Restricting Insurance

We are not liable for loss that occurs while there is a hazard that is increased by any means within your control or knowledge.

J. Requirements in Case of Loss

In case of a **flood** loss to insured property, you must:

1. Give prompt written notice to us;
2. As soon as reasonably possible, separate the damaged and undamaged property, putting it in the best possible order so that we may examine it;
3. Prepare an inventory of damaged property showing the quantity, description, **actual cash value**, and amount of loss. Attach all bills, receipts, and related documents;
4. Within 60 days after the loss, send us a proof of loss, which is your statement of the amount you are claiming under the **policy** signed and sworn to by you, and which furnishes us with the following information:
 - a. The date and time of loss;
 - b. A brief explanation of how the loss happened;
 - c. Your interest (for example, "owner") and the interest, if any, of others in the damaged property;
 - d. Details of any other insurance that may cover the loss;
 - e. Changes in title or occupancy of the insured property during the term of the **policy**;
 - f. Specifications of damaged **buildings** and detailed repair estimates;

- a. Names of mortgagees or anyone else having a lien, charge, or claim against the insured property;
 - b. Details about who occupied any insured **building** at the time of loss and for what purpose; and
 - c. The inventory of damaged personal property described in **J.3.** above.
5. In completing the proof of loss, you must use your own judgment concerning the amount of loss and justify that amount.
6. You must cooperate with the adjuster or representative in the investigation of the claim.
7. The insurance adjuster whom we hire to investigate your claim may furnish you with a proof of loss form, and she or he may help you complete it. However, this is a matter of courtesy only, and you must still send us a proof of loss within 60 days after the loss even if the adjuster does not furnish the form or help you complete it.
8. We have not authorized the adjuster to approve or disapprove claims or to tell you whether we will approve your claim.
9. At our option, we may accept the adjuster's report of the loss instead of your proof of loss. The adjuster's report will include information about your loss and the damages you sustained. You must sign the adjuster's report. At our option, we may require you to swear to the report.

K. Our Options After a Loss

Options we may, in our sole discretion, exercise after loss include the following:

1. At such reasonable times and places that we may designate, you must:
 - a. Show us or our representative the damaged property;
 - b. Submit to examination under oath, while not in the presence of another insured, and sign the same; and
 - c. Permit us to examine and make extracts and copies of:
 - (1) Any policies of property insurance insuring you against loss and the deed establishing your ownership of the insured real property;
 - (2) **Condominium association** documents including the Declarations of the **condominium**, its Articles of Association or Incorporation, Bylaws, rules and regulations; and
 - (3) All books of accounts, bills, invoices and other vouchers, or certified copies pertaining to the damaged property if the originals are lost.
2. We may request, in writing, that you furnish us with a complete inventory of the lost, damaged, or destroyed property, including:
 - a. Quantities and costs;
 - b. **Actual cash values;**
 - c. Amounts of loss claimed;

- d. Any written plans and specifications for repair of the damaged property that you can reasonably make available to us; and
 - e. Evidence that prior **flood** damage has been repaired.
- 3. If we give you written notice within 30 days after we receive your signed, sworn proof of loss, we may:
 - a. Repair, rebuild, or replace any part of the lost, damaged, or destroyed property with material or property of like kind and quality or its functional equivalent; and
 - b. Take all or any part of the damaged property at the value we agree upon or its appraised value.

L. No Benefit to Bailee

No person or organization, other than you, having custody of covered property will benefit from this insurance.

M. Loss Payment

- 1. We will adjust all losses with you. We will pay you unless some other person or entity is named in the **policy** or is legally entitled to receive payment. Loss will be payable 60 days after we receive your proof of loss (or within 90 days after the insurance adjuster files an adjuster's report signed and sworn to by you in lieu of a proof of loss) and:
 - a. We reach an agreement with you;
 - b. There is an entry of a final judgment; or
 - c. There is a filing of an appraisal award with us, as provided in **VII.P.**
- 2. If we reject your proof of loss in whole or in part you may:
 - a. Accept our denial of your claim;
 - b. Exercise your rights under this **policy**; or
 - c. File an amended proof of loss, as long as it is filed within 60 days of the date of the loss.

N. Abandonment

You may not abandon to us damaged or undamaged property insured under this policy.

O. Salvage

We may permit you to keep damaged insured property after a loss, and we will reduce the amount of the loss proceeds payable to you under the **policy** by the value of the salvage.

P. Appraisal

If you and we fail to agree on the **actual cash value** of the damaged property so as to determine the amount of loss, either may demand an appraisal of the loss. In this event, you and we will each choose a competent and impartial appraiser within 20 days after receiving a written request from the other. The two appraisers will choose an umpire. If they cannot agree upon an umpire within 15 days, you or we may request that the choice be made by a judge of a court of record in the State where the insured property is located. The appraisers will separately state the **actual cash value** and the amount of loss to each item. If the appraisers submit a written report of an agreement to us, the amount agreed upon will be the amount of loss. If they fail to agree, they will submit their differences to the umpire. A decision agreed to by any two will set the amount of **actual cash value** and loss.

Each party will:

1. Pay its own appraiser; and
2. Bear the other expenses of the appraisal and umpire equally.

Q. Mortgage Clause

The word "mortgagee" includes trustee.

Any loss payable under Coverage **A** - Building Property will be paid to any mortgagee of whom we have actual notice as well as any other mortgagee or loss payee determined to exist at the time of loss, and you, as interests appear. If more than one mortgagee is named, the order of payment will be the same as the order of precedence of the mortgages.

If we deny your claim, that denial will not apply to a valid claim of the mortgagee, if the mortgagee:

1. Notifies us of any change in the ownership or occupancy, or substantial change in risk of which the mortgagee is aware;
2. Pays any premium due under this **policy** on demand if you have neglected to pay the premium; and
3. Submits a signed, sworn proof of loss within 60 days after receiving notice from us of your failure to do so.

All of the terms of this **policy** apply to the mortgagee.

The mortgagee has the right to receive loss payment even if the mortgagee has started foreclosure or similar action on the **building**.

If we decide to cancel or not renew this **policy**, it will continue in effect for the benefit of the mortgagee only for 30 days after we notify the mortgagee of the cancellation or nonrenewal.

If we pay the mortgagee for any loss and deny payment to you, we are subrogated to all the rights of the mortgagee granted under the mortgage on the property. Subrogation will not impair the right of the mortgagee to recover the full amount of the mortgagee's claim.

R. Suit Against Us

You may not sue us to recover money under this **policy** unless you have complied with all the requirements of the **policy**. If you do sue, you must start the suit within 1 year of the date of the written denial of all or part of the claim, and you must file the suit in the United States District Court of the district in which the insured property was located at the time of loss. This requirement applies to any claim that you may have under this **policy** and to any dispute that you may have arising out of the handling of any claim under the **policy**.

S. Subrogation

Whenever we make a payment for a loss under this **policy**, we are subrogated to your right to recover for that loss from any other person. That means that your right to recover for a loss that was partly or totally caused by someone else is automatically transferred to us, to the extent that we have paid you for the loss. We may require you to acknowledge this transfer in writing. After the loss, you may not give up our right to recover this money or do anything that would prevent us from recovering it. If you make any claim against any person who caused your loss and recover any money, you must pay us back first before you may keep any of that money.

T. Continuous Lake Flooding

1. If your insured **building** has been flooded by rising lake waters continuously for 90 days or more and it appears reasonably certain that a continuation of this flooding will result in a covered loss to the insured **building** equal to or greater than the **building policy** limits plus the deductible or the maximum payable under the **policy** for any one **building** loss, we will pay you the lesser of these two amounts without waiting for the further damage to occur if you sign a release agreeing:

- a. To make no further claim under this **policy**;
- b. Not to seek renewal of this **policy**;
- c. Not to apply for any flood insurance under the **Act** for property at the **described location**; and
- d. Not to seek a premium refund for current or prior terms.

If the **policy** term ends before the insured **building** has been flooded continuously for 90 days, the provisions of this paragraph **T.1.** will apply when the insured **building** suffers a covered loss before the **policy** term ends.

2. If your insured **building** is subject to continuous lake flooding from a closed basin lake, you may elect to file a claim under either paragraph **T.1.** above or paragraph **T.2.** (A "closed basin lake" is a natural lake from which water leaves primarily through evaporation and whose surface area now exceeds or has exceeded 1 square mile at any time in the recorded past. Most of the nation's closed basin lakes are in the western half of the United States, where annual evaporation exceeds annual precipitation and where lake levels and surface areas are subject to considerable fluctuation due to wide variations in the climate. These lakes may overtop their basins on rare occasions.) Under this paragraph **T.2.** we will pay your claim as if the **building** is a total loss even though it has not been continuously inundated for 90 days, subject to the following conditions:

- a. Lake **flood** waters must damage or imminently threaten to damage your **building**.
- b. Before approval of your claim, you must:

- (1) Agree to a claim payment that reflects your buying back the salvage on a negotiated basis; and

- (2) Grant the conservation easement described in FEMA's "Policy Guidance for Closed Basin Lakes," to be recorded in the office of the local recorder of deeds. FEMA, in consultation with the community in which the property is located, will identify on a map an area or areas of special consideration (ASC) in which there is a potential for **flood** damage from continuous lake flooding. FEMA will give the community the agreed-upon map showing the ASC. This easement will only apply to that portion of the property in the ASC. It will allow certain agricultural and recreational uses of the land. The only structures that it will allow on any portion of the property within the ASC are certain simple agricultural and recreational structures. If any of these allowable structures are insurable **buildings** under the **NFIP** and are insured under the **PFIP**, they will not be eligible for the benefits of this paragraph **T.2**. If a U.S. Army Corps of Engineers certified **flood** control project or otherwise certified **flood** control project later protects the property, FEMA will, upon request, amend the ASC to remove areas protected by those projects. The restrictions of the easement will then no longer apply to any portion of the property removed from the ASC; and
- (3) Comply with paragraphs **T.1.a.** through **T.1.d.** above.
- c. Within 90 days of approval of your claim, you must move your **building** to a new location outside the ASC. Underwriters will give you an additional 30 days to move if you show that there is sufficient reason to extend the time.
- d. Before the final payment of your claim, you must acquire an elevation certificate and a floodplain development permit from the local floodplain administrator for the new location of your **building**.
- e. Before the approval of your claim, the community having jurisdiction over your **building** must:
- (1) Adopt a permanent land use ordinance, or a temporary moratorium for a period not to exceed 6 months to be followed immediately by a permanent land use ordinance, that is consistent with the provisions specified in the easement required in paragraph **T.2.b.** above;
- (2) Agree to declare and report any violations of this ordinance to FEMA and Underwriters so that under Section 1316 of the National Flood Insurance Act of 1968, as amended, flood insurance to the **building** can be denied; and
- (3) Agree to maintain as deed-restricted, for purposes compatible with open space or agricultural or recreational use only, any affected property the community acquires an interest in. These deed restrictions must be consistent with the provisions of paragraph **T.2.b.** above, except that, even if a certified project protects the property, the land use restrictions continue to apply if the property was acquired under the Hazard Mitigation Grant Program or the Flood Mitigation Assistance Program. If a nonprofit land trust organization receives the property as a donation, that organization must maintain the property as deed-restricted, consistent with the provisions of paragraph **T.2.b.** above.
- f. Before the approval of your claim, the affected State must take all action set forth in FEMA's "Policy Guidance for Closed Basin Lakes."

- g. You must have **NFIP** and/or **PFIP** flood insurance coverage continuously in effect from a date established by FEMA until you file a claim under paragraph **T.2.** If a subsequent owner buys **NFIP** and/or **PFIP** insurance that goes into effect within 60 days of the date of transfer of title, any gap in coverage during that 60-day period will not be a violation of this continuous coverage requirement. For the purpose of honoring a claim under this paragraph **T.2.**, we will not consider to be in effect any increased coverage that became effective after the date established by FEMA. The exception to this is any increased coverage in the amount suggested by your insurer as an inflation adjustment.
- h. This paragraph **T.2.** will be in effect for a community when the FEMA Regional Director for the affected region provides to the community, in writing, the following:
 - (1) Confirmation that the community and the State are in compliance with the conditions in paragraphs **T.2.e.** and **T.2.f.** above; and
 - (2) The date by which you must have flood insurance in effect.

U. Duplicate Policies Not Allowed

- 1. We will not insure your property under more than one **PFIP policy**.

If we find that the duplication was not knowingly created, we will give you written notice. The notice will advise you that you may choose one of several options under the following procedures:

 - a. If you choose to keep in effect the **policy** with the earlier effective date, you may also choose to add the coverage limits of the later **policy** to the limits of the earlier **policy**. The change will become effective as of the effective date of the later **policy**.
 - b. If you choose to keep in effect the **policy** with the later effective date, you may also choose to add the coverage limits of the earlier **policy** to the limits of the later **policy**. The change will be effective as of the effective date of the later **policy**.

In either case, you must pay the pro rata premium for the increased coverage limits within 30 days of the written notice. In no event will the resulting coverage limits exceed the permissible limits of coverage under the **Act** or your insurable interest, whichever is less.

We will make a refund to you, according to applicable **NFIP** rules, of the premium for the **policy** not being kept in effect.
- 2. The insured's option under Condition **U. Duplicate Policies Not Allowed** to elect which **PFIP policy** to keep in effect does not apply when duplicates have been knowingly created. Losses occurring under such circumstances will be adjusted according to the terms and conditions of the earlier **policy**. The **policy** with the later effective date will be canceled.

V. Loss Settlement

We will pay the least of the following amounts after application of the deductible:

- 1. The applicable amount of insurance under this **policy**;
- 2. The **actual cash value**; or
- 3. The amount it would cost to repair or replace the property with material of the like kind and quality within a reasonable time after the loss.

VIII. LIBERALIZATION CLAUSE

If we make a change that broadens your coverage under this edition of our **policy**, but does not require any additional premium, then that change will automatically apply to your insurance as of the date we implement the change, provided that this implementation date falls within 60 days before, or during, the **policy** term stated on the **Declarations Page**.

REPLACEMENT COST ENDORSEMENT

In consideration of the premium paid for this Insurance, reference to "Actual Cash Value" in the Policy to which this Endorsement applies are deleted and "Replacement Cost" substituted therefor, subject to the following provisions:

- a) Any settlement shall be based on whichever is the least of the cost of repairing, replacing or reinstating the destroyed or damaged property with material of like kind and quality;
- b) The repair, replacement or reinstatement (all hereinafter referred to as "replacement") shall be intended for the same occupancy as the destroyed or damaged property;
- c) The replacement must be executed with due diligence and dispatch;
- d) Until replacement has been effected the amount of liability under this Policy in respect of loss shall be limited to the actual cash value at the time of loss;
- e) If replacement with material of like kind and quality is restricted or prohibited by any by-laws, ordinance or law, any increased cost of replacement due thereto shall not be covered by this Endorsement.

The Underwriters' liability for loss under this Policy, including this Endorsement, shall not exceed the smallest of the following amounts:

- i. the amount of the Policy applicable to the destroyed or damaged property, or
- ii. the replacement cost of the property or any part thereof identical with such property and intended for the same occupancy and use, or
- iii. the amount actually and necessarily expended in replacing said property or any part thereof,

If the property is rebuilt at a new location, the cost described above shall not exceed the cost that would have been incurred if the property had been rebuilt at its former location.

All other Terms, Clauses and Conditions remain unaltered.

SECURITY

Order Hereon 100% of 100%

Binding Authority Reference B0572 NA25AF01

100% of 49.00% Order Lloyd's of London AKA (Certain) Underwriters at Lloyd's, London (44.646154% of 49%)

22.5000%	SYNDICATE 2987 BRT	
27.1497%	SYNDICATE 1200 WSM	
4.9363%	SYNDICATE 2121 ARG	
4.9363%	SYNDICATE 1969 APL	
7.8981%	SYNDICATE 5000 TRV	
6.9108%	SYNDICATE 9029 KII	
8.8854%	SYNDICATE 2001 AML	
2.9617%	SYNDICATE 0318 CIN	
4.9363%	SYNDICATE 0457 MRS	
8.8854%	HDI GLOBAL SPECIALTY SE	(4.353846% of 49%)
100.0000%		

Binding Authority Reference B0572 NA25AF03

100% of 21.00% Order

100.0000%	HAMILTON INSURANCE DAC (F/K/A/Ironshore Europe Limited)
100.0000%	

Binding Authority Reference RF03741A25

100% of 30.00% Order

100.0000%	GREAT LAKES INSURANCE SE AUTHORITY AGREEMENT NUMBER: 3741/2025
100.0000%	



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